The Five Boxes Series · Teen Edition, Book One

Anatomy of Money for Teens

How Businesses Really Make Money — and How You Can Start

Part Three · Now For Real

Copyright

◆ Anatomy of Money for Teens

How Businesses Really Make Money — and How You Can Start The Five Boxes Series · Teen Edition, Book One

First English edition, 2026. Translated and adapted from the Korean edition 『너 그거 아니? 돈 버는 머리!』

Company names and brands mentioned in this book are used for the purpose of analysis and commentary. No endorsement or affiliation is implied.

Every figure in this book is one that could be verified in a public source. Where a number could not be confirmed, it was left out rather than estimated.

Before You Start

◆ What is this book?

There's a book for adults called *Anatomy of Money*. It takes companies apart using **five boxes** to see how they make money.

This is the **teen edition**. The five boxes are exactly the same. But none of the examples overlap. The adult book has Spotify, Visa, and Berkshire Hathaway in it. This one has free games, dollar stores, delivery apps — things you run into every day.

So you don't need the adult book. This one teaches you the five boxes on its own. If you read the adult version later, you'll see the same tool pointed at much bigger companies.

◆ How to read this

Start at Part One and go in order. That's where you learn what the boxes are. Skip to Part Two and you'll only half-understand why any of those companies work.

Part Two you can open anywhere. Start with a brand you already know.

Part Three, whenever you feel like it. Open it when "maybe I should actually try this" crosses your mind.

◆ Five words you might not know

If a word trips you up, come back here.

Word	What it means
Customer	Not the person using it — **the person paying**
Value	Not the thing itself, but the annoyance the thing removes
Payment	**How** the money is collected, and **when**

Word	What it means
Moat	The ditch dug around a castle to keep attackers out. Companies have them too
Fault line	The place where that ditch starts to crack

Don't memorize them. They get explained again as they come up.

◆ Can you trust the numbers?

Every company figure in this book is one that could be checked. Anything that couldn't be verified isn't in here at all. There is no "probably about right" in this book.

◆ There's a second book

The next one is **Anatomy of Money for Teens II — I Started, So Why Isn't It Working?**

This book is the one that gets you started. The second one is the one that keeps you from quitting.

You'll learn all five boxes from this book alone, though.

Opening — Why Is Your Money Always Gone?

◆ Where did last month's money go?

Count it up. Snacks, delivery apps, game items, coffee.

Got a number? Now let me ask it the other way around.

Which companies did that money go to?

A convenience store chain. A delivery app. A game studio. A coffee brand.

All different companies. And every single one of them **is better at money than you are.**

◆ So why are you always broke?

Simple. They know something you don't.

Know what? **Five questions.**

Every company that's good at money has an answer to all five. And every shop that closed, every app that disappeared, got stuck on one of them.

> 1. Who actually pays?
> 2. What are they paying for?
> 3. How and when does the money arrive?
> 4. Why hasn't anyone taken this yet?
> 5. Where does it break?

◆ What do I get out of this?

Three things.

One, you start seeing companies. Why that app is free. Why that shop only takes cards. Why that brand isn't opening more locations.

Two, you start seeing your own money. You can follow what you spent and watch where it grows.

Three, these five boxes follow you everywhere. Part-time job, your own business, a job at a company — same five.

Plenty of adults never learn this. They work somewhere for years without knowing how the place actually makes its money.

You're learning it now. That puts you a step ahead of them.

Part One takes the boxes one at a time.

And we start with something you probably did today. **A free game.**

Part One · Learning the Five Boxes

◆ Six chapters, six examples

Part One is six chapters. Each one teaches you a box using something you run into all the time.

Chapter	Box	Example
1	Customer	A free mobile game
2	Value	A dollar store
3	Payment	A prepaid phone card
4	Moat	A delivery app
5	Fault line	An app that was huge and then vanished

Chapter	Box	Example
6	Diagnosis	Your favorite YouTube channel

By the end of Chapter 6 the five boxes will feel automatic.

Then Part Two points them at ten real brands.

Chapter 1 · Customer — It's Free, So How Is the Company Still Alive?

◆ You haven't paid a cent

There's a game on your phone right now. The download was free. You've pulled for characters, cleared some stages. And you've paid nothing.

So how does that company cover its servers, pay its staff, and still buy ads?

Here's the answer: you're not the customer.

◆ Then who is?

Somebody else playing the same game. Specifically, **somebody who spends.**

Say thirty people in your grade play it. Twenty-seven of them play free, like you. Three of them spend money pulling for characters.

To the company, those three are the real customers. You and the other twenty-six aren't customers. **You're closer to being the product.**

◆ Wait — I'm the product?

Yeah. For two reasons.

One, the game is only fun because you're in it. A game you play with people beats a game you play alone. You log in, you fill up the leaderboard, you take matches, you talk in chat — and that's why those three keep spending.

Two, what you do gets sold as ad data. Which games you play and for how long, which ads you tapped. That's information an advertising company will pay for.

◆ What if the spenders stop?

The game dies. Genuinely.

If those three stop spending, the servers stop getting paid for. Then comes the notice about the service shutting down, and the game is gone.

So the thing that actually matters in a free game is why those three spend. Not wanting to lose to anyone. Liking how the character looks. Wanting the top spot.

That reason is the second box — **Value** — and it's the next chapter.

◆ This isn't only about games

YouTube is the same. You watch free; advertisers pay. A map app is the same. You use it free; the businesses on it pay to be seen.

Anything that looks free is being paid for by somebody else.

Finding that somebody is Box One.

◆ Try It Yourself

Pick one free app you used today. Game or not, doesn't matter.

Find exactly one way it makes money. Ads? Selling items? Subscriptions?

Found it? Then one more. **What did you supply instead of money?** Time on the app? Or a friend you brought in?

Once you can answer that, you know what you earned for that app today.

That's Box One.

Chapter 2 · Value — Why Buy the Cheap One?

◆ What did you actually buy at the dollar store?

You've been in one. Shelves of things for a dollar, two dollars, five.

Say you picked up a phone case, or a pen, or a bin to put stuff in.

You didn't buy that object.

What? Then what did you buy?

◆ You bought a problem going away

Think about why you got the case.

Wasn't it because you kept picturing the screen cracked?

What you bought wasn't a case. It was the worry being gone. Any case would have done, as long as the worry went with it.

◆ So why there, and not somewhere else?

The same case is five or ten dollars in other stores. Here it's one. Why so cheap?

Simple. **A dollar store isn't selling you objects. It's selling you "they'll have it."**

You know how annoying it is to go somewhere for one thing and they're out? A dollar store almost always has it.

And the price is predictable. Whatever you pick up, it's about a dollar, maybe two, maybe five.

They're selling you the confidence that it'll be cheap. This book calls that **certainty**.

◆ Then what do expensive things sell?

Different things sell different removals. There are basically five.

Time. A delivery app. You don't have to go out.

Worry. An umbrella. The rain stops being a problem.

Access. A concert ticket. Without it you don't get in.

How you're seen. A certain pair of shoes. Putting them on says something.

Certainty. The dollar store. The belief that this won't be a mistake.

◆ Same object, different sale

A gas-station sandwich and a sandwich from a nice deli might be built from similar things.

But the gas-station one is *"I'm hungry right now"* and the deli one is *"this is a good lunch."*

Sell the same object, remove a different problem, and it's a different business. Different price, different everything.

◆ Try It Yourself

Think of the most expensive thing you bought recently.

Write one line:

> *If I hadn't bought this, I would have* ______.

Whatever fills that blank is what the thing was actually worth to you.

I'd bet it isn't the number on the receipt.

Chapter 3 · Payment — Why Does It Matter When the Money Arrives?

◆ Ever loaded money onto a gift card?

Say you put twenty-five dollars on a card and spent ten of it that day. Fifteen left. You'll use it later.

Right now, whose fifteen dollars is that?

Not yours. It's the company's. You handed it over early.

And you're not getting any interest on it.

◆ Why is that so good for them?

Compare two shops.

Shop A takes your money when you walk out with something. **Shop B** gets you to load a card first, and then you forget about it for a while.

A year later, their bank accounts look nothing alike.

Shop B is always sitting on **money that hasn't been spent yet.** They can buy supplies with it, or ride out a slow month.

Sometimes when the money arrives matters more than how much of it arrives.

◆ How many ways are there to get paid?

Every time you sell. A shop ringing up an item. The most common one.

Every month. Netflix, a game pass, a music subscription. That's a subscription.

A cut in the middle. A resale app. It connects two people and takes a slice.

Up front. Gift cards, prepaid credit. That's where this chapter's title comes from.

They behave completely differently.

Get paid per sale and every month restarts at zero. Run a subscription and you can already see most of next month. Get paid up front and there's always a pile sitting in the account.

◆ So where are you keeping your money right now?

Count it up. Game currency. A coffee app balance. Gift cards in a drawer. A transit card.

Every one of those is you lending a company money at zero interest.

They hold it, and pay you back later in stuff.

◆ Try It Yourself

Go through your phone and find every place you've **already loaded money.** Game balances, app balances, transit card, all of it. Add it up.

What's the number?

That money feels like yours. It's sitting in somebody's company account.

Once you've seen the number, you'll think twice the next time you load a card.

Chapter 4 · Moat — Why Does Everyone Use the Same One App?

◆ How many delivery apps are on your phone?

Probably one. Maybe two.

Why is that? Nothing stops you from having five. But almost everybody leans on one.

That's the moat, and it's what this chapter is about.

◆ What a moat is

You've seen the ditch dug around an old castle. It's there so attackers can't walk up to the wall.

Companies dig those too. A moat is whatever stops a rival from walking off with their customers.

Let's look at what DoorDash dug.

◆ They dug three of them

One: everyone else is on it. Your friends order on it, so the reviews you care about are there, so the promo codes line up there. You go where everybody is.

Two: the restaurants are already signed up. A new delivery app can launch tomorrow, but if the place you actually order from isn't on it, you won't use it.

And restaurants sign up where the customers already are.

Customers come because the restaurants are there.
Restaurants come because the customers are there.
Chicken and egg.

Three: your stuff has piled up in it. Saved addresses. Past orders. Reorder in two taps. Starting that pile over somewhere else is annoying enough that you don't.

◆ So nobody can ever beat them?

They can. It's just hard.

A new app has to break all three **at once.** Get customers, get restaurants, and get people to rebuild their pile.

Doing one of the three isn't enough. That's why it doesn't get taken easily.

◆ There's a way to test for a moat

Think of a place you go often.

Ask this: **"If they raised prices 20% tomorrow, would I still go?"**

If the answer is yes, that place has a moat.

If the answer is no, it doesn't. It's surviving on price alone.

◆ Try It Yourself

Pick one app you use a lot, or one place you go a lot.

Ask it exactly that. **"If this cost 20% more, would I still use it?"**

If yes, write one line saying why.

That line is the moat.

Get that question right and you've got the whole chapter.

Chapter 5 · Fault Line — Why Did That Huge App Disappear?

◆ Remember Clubhouse?

A few years ago there was an audio chat app everyone was suddenly on. For a while you couldn't even get in without an invite.

Now? Almost nobody opens it.

How does something disappear that fast?

◆ It was cracking while it was winning

Remember the moat from Chapter 4? Clubhouse's moat was *you can only get in if someone invites you.*

That moat had a problem built into it.

Being hard to get into was the appeal — but that also means the crowd can't grow.

So they opened it up. And the moment they did, it became a place anyone could walk into.

And that was exactly the thing that had made it special.

They removed their own moat, and the moat was gone.

◆ Other apps die the same way

The ones that were everywhere and then weren't tend to go for the same reasons.

When your friends leave, you leave. That "everyone's on it" thing from Chapter 4 runs backwards just as fast. It empties out in weeks.

Something more fun shows up. Trends move especially fast at your age. What everybody did last month becomes *"people still do that?"*

Nobody figures out how to make money. Plenty of users, none of them spending, server bills arriving every month. Then it closes.

◆ Can you see it coming?

You can. **Start by asking what the moat is.**

Then write down **what has to stay true for that moat to keep working.**

For Clubhouse it was *it has to be hard to get in.*

But every company wants more users. So there's always a risk that **a company destroys its own moat trying to grow.**

The most dangerous moment is while it's winning. The bigger the crowd, the harder that moat is to hold.

◆ Try It Yourself

Think of the thing everyone around you is into right now. An app, a trend, whatever.

Ask: **what has to stay true for this to stay popular?**

Write down one answer. Then set a reminder for six months from now and open it again.

Check whether that thing is still true.

That's what practicing for fault lines looks like.

Chapter 6 · Diagnosis — Practice on Your Favorite YouTuber

◆ You've got all five boxes. Time to use them

Think of a YouTuber you actually watch. Anyone.

We're going to take that channel apart with the five boxes. It takes ten minutes.

◆ Order: 3 → 1 → 2 → 4 → 5

Don't go in numerical order. Go in this one. It's much faster.

Start with Box Three, Payment. How does this channel make money? Ads, sponsorships, memberships, merch. Start with whatever you can just see.

Box One, Customer. So who's actually paying? The advertiser? Or the viewer buying a membership?

Box Two, Value. What are they paying for?

If it's an advertiser: *to put our product in front of the people who watch this.* If it's a member: *to see this person's stuff sooner, and more of it.*

Box Four, Moat. Why can't somebody else take this?

Because of the voice? Because nobody else could make this particular thing? Or is it just that they started early and piled up subscribers?

Careful here. "Started early and got famous" is not a moat.

If anyone could copy it, that's not a moat. That's luck.

A real moat is the part nobody can copy.

Box Five, Fault Line. If this channel collapsed, what would have done it?

The algorithm changing? Something more fun showing up? The person quitting?

◆ What if a box comes out empty?

Don't force it. Write *"need to check."*

An empty box means one of two things.

Either you don't know the channel well enough, or **the channel really doesn't have a moat.**

Both are useful answers.

◆ Once it's full

Look at the whole thing again.

Now you can see why the channel works — or why it might be in trouble.

That's the job the five boxes do. They make the invisible part visible.

◆ Try It Yourself

Open your phone right now and pick a channel you like.

Set a ten-minute timer and fill in the five boxes in the order above. Paper, notes app, doesn't matter.

When it's done, show it to a friend.

And ask them: **"Want to try one?"**

Now let's go to Part Two. We're taking apart ten brands you already know.

First up is the shoe company everybody's wearing.

Part Two · Ten Real Brands, Taken Apart

◆ Now for the real thing

You've got the five boxes. Now we point them at ten brands you actually know.

Nike, Netflix, DoorDash, Dunkin', StockX, Roblox, Starbucks, Amazon, YouTube, and OfferUp.

◆ There's one extra thing this time

Every one of these ten chapters ends with **something you could start today.**

If you read them, think *huh, interesting*, and close the book, nothing sticks.

So each chapter hands you **one button you can actually press today.**

It's fine to fail at it. The first try not working is normal.

Learning to fail small now is exactly what keeps you from falling hard later.

The point isn't doing it perfectly. The point is doing it at all.

Let's start with Nike.

Chapter 7 · Nike — A Shoe Company That Doesn't Make Shoes?

◆ Check the tag in your shoe

Look at the tag inside the sneakers you're wearing. It says where they were made. Vietnam, Indonesia, China.

None of those are Nike factories. Nike doesn't own them.

Nike designs the shoe, puts its name on it, advertises it — and then asks another company: *please make this exactly like this.*

◆ So what kind of company is it?

Not a company that makes shoes. A company that designs shoes and sells a story.

Two shoes can be built from the same materials in the same place, and the one with the right logo sells for five times as much.

What you're buying isn't the shoe. It's **how it feels to be someone who wears that brand.**

◆ In five boxes

Customer. You, buying shoes — plus everyone in the world who wants that logo on their feet.

Value. Protecting your feet matters less than what you look like wearing them. That's also why limited releases resell for far above retail.

Payment. Mostly just selling. But limited drops work differently: make fewer on purpose, and the people who miss out want them more.

Moat. Years of athlete sponsorships and a logo everyone recognizes. You can't build that overnight — no other shoe company gets to use that swoosh.

Fault line. If it gets too common, the specialness drains out. The moment everybody's wearing it, "this makes me look different" stops working.

◆ Here's the genuinely interesting part

You know the people who buy limited sneakers, never wear them, and resell them?

That is a whole business. Buying something and selling it for more *is* the business. There's nothing else to it.

Some people do this full-time. Buy at retail, sell at a premium.

And the principle is the same one Nike is using. **Get hold of the thing lots of people want and there isn't much of.**

◆ Something you can start today

Got clothes that don't fit, a game item you don't use, something sitting in a closet?

Open a resale app. List exactly one thing.

Before you set the price, write one line: what does this solve for the person buying it? Then price it.

That's where reselling starts.

Selling one object is the fastest way to learn in your body that **you're someone who can sell things.**

Chapter 8 · Netflix — Why Does the Money Leave Every Month by Itself?

◆ Ever checked the billing date?

Netflix takes the same amount on the same day every month, automatically.

Watch nothing at all that month, and it still goes out.

That's the whole strategy. The money leaves whether you watch or not.

◆ Why not just charge per movie?

Charging every time would be worse for both sides.

You'd stop and calculate *is this one worth it?* before every single show. And the company would have no idea what next month looks like.

Charge once a month automatically, and next month's revenue is visible in advance.

Once you can see it, you can plan against it — how much to spend on the next season of something, and when.

◆ In five boxes

Customer. Whoever's card it is. Four people can share one account, but somebody is still paying.

Value. No trip to a theater, no ads, and it's there when you want it.

Payment. Automatic, monthly. Remember Chapter 3? From the company's side this is the best version there is.

Moat. Shows nobody else has. Once there's one series you can only get here, you've got a reason to stay subscribed that isn't about price.

Fault line. What happens when there are too many subscriptions?

Go count yours right now. Once it's past five, at some point you think *I'm cutting everything except one this month.*

That sentence is the thing this company is most afraid of.

◆ Subscriptions work almost anywhere

Getting paid automatically every month isn't a streaming trick.

A monthly snack box, restocking supplies, anything somebody needs again and again — same mechanism.

Satisfy someone once and next month's money arrives without a new sale. You don't have to win the customer over again every time, so even something small adds up steadily.

◆ Something you can start today

Look around for something people near you **need again every month.** School supplies, snacks, whatever it is.

Ask three friends one question: **"Don't you need this every month?"**

If you get a *yeah, actually* — that's your first subscription idea.

You don't need an app. Start by handing it to three people every month.

Chapter 9 · DoorDash — Making Money Without Cooking Anything?

◆ When you order food, who are you paying?

You've ordered on a delivery app. You pay once at checkout.

But that one payment splits three ways.

The restaurant, the driver, and the app.

The app didn't cook the food and didn't drive it to you. It still gets paid.

◆ How is that possible?

Remember the moat from Chapter 4? DoorDash took **the spot in between.**

For a restaurant, listing there is easier than finding customers alone.

For you, one app beats hunting down phone numbers for six places.

Both sides got easier, so neither side leaves — even though the middle takes a cut of everything.

◆ In five boxes

Customer. Both. You pay, and the restaurant pays a commission. Money comes in from both sides.

Value. For you, not having to go out. For the restaurant, not having to find you.

Payment. A cut per order. The more that gets sold, the more the app makes, without doing anything differently.

Moat. Everyone already uses it, so you use it. Every restaurant is already on it. A new delivery app launches and neither side moves. That's the ditch from Chapter 4.

Fault line. When the commission starts feeling too expensive, restaurants build their own ordering, or start telling you to call them directly.

Anything sitting in the middle carries that risk permanently.

◆ This shape is everywhere

It isn't just food. Tutoring apps, task apps, resale marketplaces — identical structure.

Connect somebody to somebody, take a little for doing it.

That's why you can start one of these without knowing how to make anything.

You don't have to be the person who makes it. You can be the person who connects it.

◆ Something you can start today

Is there something at your school where you keep thinking *somebody who knows this should meet somebody who needs this?*

A friend who's good at math and a friend who's failing it. Someone selling last year's textbook and someone who needs it.

Make one group chat and put those two people together.

Don't charge anything. Connecting them once is how you learn this structure with your hands instead of your eyes.

Chapter 10 · Dunkin' — How Is It Cheaper and Still Profitable?

◆ Cheap coffee — is there anything left over?

You've noticed the cheaper coffee places. Same size cup, a lot less money than the fancy place across the street.

You'd think there's nothing left after they pay for it. **There is. More than you'd guess.**

◆ The secret is in the store itself

A big café sells you a place to sit. Seats mean floor space, floor space means rent, and a room full of people means staff.

The cheaper places attack it from the other end. **Built for grabbing and leaving. Smaller footprint. Fewer people working.**

They're not selling you a seat, so they don't pay for one. The menu is simpler, so the line moves and fewer hands are needed.

The margin on one cup is small. But the cost of one cup is smaller.

◆ In five boxes

Customer. People who were never going to sit down. In, out, moving.

Value. Next to the expensive place, the certainty that this is cheaper. For a lot of people that beats a slightly better cup.

Payment. Straight selling. The trick is on the cost side, not the price side.

Moat. Being everywhere. Once there's one on every other corner, "if I'm getting coffee anyway, I'll take whichever is closest" does the work. That's the density idea from Chapter 4.

Fault line. Open them too fast and the new one lands near the old one. Now two stores split the same customers.

Sales per store go down while the company looks like it's growing. That's the trap.

◆ What to take from this

Making the expensive thing better isn't the only kind of business. Taking things out is a business too.

Big room, long menu, comfortable chairs — every one of those costs money.

The cheap coffee place removed most of them and kept two things: **fast and cheap.**

They weren't asking what to add. **They were asking what to remove.**

◆ Something you can start today

Think of something you like that has an **expensive, complicated version.**

Then ask: **what could I take out to make this much cheaper and simpler?**

If a simple answer shows up, that's the start of a business idea.

You don't need a storefront. Show one friend the stripped-down version and say *"I tried making this the simple way."* That's enough to begin.

Chapter 11 · Etsy — A Store That Doesn't Make Anything It Sells

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◆ Ever bought something on Etsy?

Open it and there are hundreds of thousands of things for sale. **Etsy made none of them.**

Every one of those was made by somebody in a spare room somewhere.

Etsy is a very large store made of very small makers.

You don't have to make anything yourself. Gather people who make things well, and that's a business.

◆ Why did all those small makers end up in one place?

Try selling something you made, alone.

You take the photos. You write the description. You figure out how anyone finds you. You pack it. You ship it. You handle the person who says it arrived broken.

All of it, by yourself, for every single order.

List on Etsy and most of that is handled. In exchange, **they take a cut of every sale.**

The maker did the math and decided a cut of each sale beats doing all of it alone.

Same principle as Chapter 9. **The spot in the middle.**

◆ In five boxes

Customer. Both sides again. Buyers pay, and the makers pay a commission.

Value. For you, hundreds of makers in one place instead of hunting. For the maker, not having to build a store from nothing.

Payment. A commission per sale. The more that sells, the more they make.

Moat. The makers are already here, so buyers come here. Buyers are already here, so makers stay. A new site opens and nobody moves.

Fault line. A maker who gets genuinely popular starts thinking *I could sell straight to people now and keep the cut.*

The exact same risk as the delivery app in Chapter 9. Anything in the middle lives with it.

◆ What to take from this

You don't have to make something for it to be a business.

Finding good things and putting them where people can see them is, by itself, worth money.

Curating. Editing. Recommending. Those words all describe this one idea.

◆ Something you can start today

Is there anything you have **an eye for?** Music, stationery, shoes, games — something where you can tell the good one from the average one.

Make one account somewhere and **post only the things you picked.**

You don't have to make any of it. Recognizing what's good is its own skill.

Do it long enough and people start buying because **you** recommended it.

That's when the eye turns into a business.

Chapter 12 · Roblox — People Make Money Inside a Game?

◆ Ever noticed something strange while playing?

Almost everything you play on Roblox was **not made by Roblox.**

The games, the items, the worlds — other players built those. Some of them are your age.

The company didn't make the fun. It built the place where other people make the fun, **and a way for them to get paid for it.**

◆ Why would a company set that up?

One company can only build so much. However many people they hire, that's the ceiling.

Players are not a fixed number. There are millions of them and their ideas don't run out.

So the deal got rewritten: **"You build it. If it sells, we split it."**

The company's supply of things to play never stops growing. The builder earns. Both sides win, and neither could do it alone.

◆ In five boxes

Customer. Other players, buying what somebody built.

Value. New things to do in a game that would otherwise get boring.

Payment. A sale, split. The creator gets paid, and the platform keeps a share.

Moat. Enormous piles of things already built here, and the largest crowd of people playing. A new game can launch, but **nobody can carry their creations over to it.** Everything they made stays here.

Fault line. If something more fun becomes the thing everyone plays, people move. Games ride trends hard, so this risk never really goes away.

◆ The part that actually matters for you

This is one of very few legal ways someone your age can genuinely earn money.

Good at art? Make things people wear. Good at building? Build a place people want to spend time in.

The system doesn't check how impressive you are. It checks whether somebody wanted what you made.

Be careful here, though. Getting paid out has real conditions — age rules, account requirements, and a payout process. Those change, and they're different depending on where you live.

So don't take my word for any of it. Go read the current rules yourself.

◆ Something you can start today

If you already like building things inside a game, search for **how creators get paid on that platform.**

Every big one has an official page explaining it.

You don't have to sign up today. Just read what the conditions actually are.

Finding out "I'm allowed to be one of the people who makes these" is the whole step.

Chapter 13 · Starbucks — Why Are They So Serious About the Price?

◆ Ever loaded money onto the app?

Remember the gift card from Chapter 3? Starbucks runs the same play.

You load money onto the app, then it comes off a little at a time.

Whatever's left is sitting in the company's account. And because the company is enormous, all those small balances add up to a genuinely large pile.

◆ But why is the coffee so expensive?

Judging by what's in the cup, it could be sold for much less. But the cup isn't what you're buying.

You're buying a seat, an outlet, the wifi, and how it feels to be holding that particular cup.

Chapter 2's dollar store sold you *this will definitely be cheap*. This place sells you *this will definitely be a decent place to sit*.

Opposite promises. Both are real products.

◆ In five boxes

Customer. Whoever buys the coffee.

Value. The seat and the feeling outrank the taste. You can sit for three hours and nobody makes you feel weird about it.

Payment. Selling — plus getting paid in advance through the app. Exactly what Chapter 3 described. That balance is a zero-interest loan to them.

Moat. They're everywhere, so they're the default. And the rewards piled up in your app make moving somewhere else feel like losing something.

Fault line. If people stop sitting and only grab and go, **the "seat" they've been charging for stops being worth anything.**

Then it's just expensive coffee. And expensive coffee with no reason attached is a hard thing to sell.

◆ What to take from this

The same object gets a completely different price depending on where and how it's sold.

Coffee from the same beans is a dollar at a gas station and five dollars here.

The difference isn't the beans. **It's what experience is being sold alongside them.**

◆ Something you can start today

Think about whether you can add a "seat" to whatever you're selling.

Sell the identical thing, but wrap it properly, or write one line by hand and put it in the package — and people feel *oh, this one's a bit special.*

Take one small thing and add one special touch to it.

Feeling the size of that difference yourself is the point of this chapter.

Chapter 14 · Amazon — How Does It Get Here Tomorrow?

◆ Ordered yesterday, arrived today

You order something and it shows up the next day. Sometimes the same night.

How is that even possible?

Because the warehouses were already built, everywhere, before you ordered.

The thing you bought was sitting in a building near you **before you knew you wanted it.** Somebody guessed it would sell and put it there in advance.

◆ Why can't anyone else just copy that?

Building warehouses across an entire country costs a staggering amount of money. And it takes years.

Start today with unlimited funding and you still can't have it by next year.

To sell "it arrives tomorrow," you first have to spend years pouring money into buildings.

That's why it doesn't get copied. Of all the moats in Chapter 4, **this is the most expensive kind there is.**

◆ In five boxes

Customer. Buyers — and also the sellers who list their products there.

Value. For buyers, speed and certainty. For sellers, not having to handle shipping themselves.

Payment. Margin on what it sells, fees from sellers, and a membership charged every month.

Moat. The warehouses. It cost so much money and so much time that nobody can take it.

Fault line. Those buildings are expensive to keep running. If delivery gets slower or prices climb, the reason to stay disappears and people go elsewhere.

◆ What to take from this

A moat this expensive is only for sale to giant companies.

But there's a hint in here for you.

The thing a giant company can't do is **know one small place extremely well.**

Nationwide warehouses belong to them. But the fastest, best-informed person inside your own neighborhood? **That can be you.**

Being number one in a small area is a moat too. It's just a cheaper one.

◆ Something you can start today

Think of one thing you know better than almost anyone around you — your school, your neighborhood, one specific hobby.

Write down one thing you know that somebody new would have no idea about.

That sentence is the beginning of a small-area moat.

Being the best in a small place beats being invisible in a big one.

Chapter 15 · YouTube — People Really Make Money From One Video?

◆ They do. And so could you

The YouTuber you watch doesn't work for a company.

They make money directly from things they made themselves.

There's a reason this chapter is in the book. **It's the easiest door in the whole building.**

◆ How does a video turn into money?

Remember the free game in Chapter 1? People play free, and the advertiser pays.

Same thing here.

You watch free, an advertiser pays, and the platform splits that with the person who made the video.

More views, more ads shown, more money. That's the entire mechanism.

◆ In five boxes

Customer. The advertisers buying space around the video. You, watching, are not paying.

Value. For the advertiser, your attention for a few seconds. For you, something worth watching.

Payment. A share of ad revenue, scaled to views. Plus memberships and direct support on some channels.

Moat. This person's voice, their editing, the audience already there. Somebody can copy the format exactly and still not be able to take **the feeling of it being their channel.**

Fault line. The algorithm changes. Someone more interesting shows up. Or the person gets exhausted and stops. Any of the three shakes it.

◆ Here's the part that actually matters

There's no qualification for this. No license. No minimum age to post.

The camera is the phone in your hand.

What it needs is **the nerve to upload one.**

Your first video will almost certainly get very few views. **That's fine, and it's normal.** Nearly every channel you like started there.

What matters isn't the first one. It's putting up a few more after it.

◆ Something you can start today

Take the one thing you know best and film one minute of it. A game strategy, how you draw something, anything.

It doesn't have to be good. Just put it up.

Then search for the platform's **partner program** and read the requirements.

You almost certainly don't meet them yet. That's not the point.

Knowing what the bar actually is — that's the start.

One chapter left. It's the one that shows you a business that doesn't have to make a profit at all.

Chapter 16 · Facebook Marketplace — Can a Deal With No Profit Be a Business?

◆ Ever sold something to someone nearby?

Somebody moves, clears out a closet, and posts it. Somebody a few streets over drives across town to pick it up.

Money changes hands between two people who don't know each other.

And the company takes none of it.

That's the difference between this and the nine chapters before it.

◆ So how does it make money?

Strange, isn't it? A company sitting in the middle connecting two people, and it doesn't take a cut.

The answer is that **the people paying are somewhere else entirely.**

Individuals selling a used desk pay nothing. **Advertisers pay.** Businesses that want to reach people in a particular area pay.

Free on one side, paid on the other. Two different businesses in the same app.

You've actually seen this before — Chapter 1, the free game. The people playing free aren't the customers. It's the same shape, wearing different clothes.

◆ In five boxes

Customer. Advertisers and businesses. The person selling a chair is not one.

Value. For individuals, an easy way to hand something to a person nearby. For businesses, reaching people who are actually close enough to walk in.

Payment. Nothing from the individual trade. Money comes from advertising.

Moat. Everyone nearby is already there, so anything you post gets seen. A new app opens with nothing on it and nobody moves.

And you can see who you're dealing with — a real account with a history beats an anonymous username when you're about to meet a stranger.

Fault line. Somewhere with few people has few things listed, and a marketplace with nothing in it is useless. It also depends on people feeling safe meeting up. If that goes, the whole thing goes.

◆ But here's the real difference

There's a **"Free"** section. People give things away and ask for nothing.

Furniture that won't fit in the new place. Clothes nobody wears. Not selling it. Not throwing it out. **Handing it to somebody nearby.**

◆ Why that matters

The nine brands before this were all answering *how do we make more?*

This one has **an exchange that makes nothing, sitting right in the middle of it,** and nobody thinks it's strange.

A business isn't only a thing that produces profit.

Connecting something to the person who needs it creates value on its own. Using what you have carefully, passing on what's left over, neighbors helping each other out.

That's real economic activity too.

◆ Something you can start today

Find one thing at home you don't use but that still works fine.

Don't sell it. Post it for free.

Before you experience making money, experience being useful to somebody.

Feel that once, and later — when you're running something real — you'll be the kind of person who asks **"how does this help somebody?"** first.

That question is what the people who last have in common.

Part Three · Now For Real

◆ Getting here already changed something

Part One gave you the five boxes. Part Two put ten brands through them.

You can now read the structure of a business better than most adults can. **That's not a compliment. It's just true, and it's easy to check.**

But stopping here means you did half of it.

Part Three is four chapters.

Chapter	What it is
17	Kids who actually did it
18	How to start with five dollars

Chapter	What it is
19	Making it official
20	Why it's fine to fail

Read those four and there's exactly one thing left.

Doing it.

Chapter 17 · Kids Who Actually Did It

◆ Would you believe a nine-year-old started a company?

There's a kid in Memphis named Moziah Bridges. He started at **nine.**

His grandmother had been a seamstress, and she taught him to sew using leftover scraps of fabric. He made bow ties.

At first he just handed them to friends and family. Then he started selling them at neighborhood flea markets and small craft fairs.

That was the whole first step.

At eleven he pitched the bow ties on national television. He was offered fifty thousand dollars, and he turned it down — he took a mentor instead.

At fifteen he signed a licensing deal with the NBA, which let him make bow ties in real team colors.

◆ A four-year-old, too

Mikaila Ulmer got stung by bees **twice in one week** when she was four.

Most kids would decide bees were the enemy. Her parents pushed her to go find out what bees actually do instead. She got interested.

Around the same time her family came across her great-grandmother's cookbook from 1940, with a recipe for flaxseed lemonade in it.

She made the lemonade — and sweetened it with **honey**, bought from local beekeepers, so the drink helped the thing that stung her.

It started as a lemonade stand. It ended up on shelves in Whole Foods, and she made a deal on the same TV show Moziah did.

◆ And a thirteen-year-old

Rachel Zietz played lacrosse. She was annoyed that the practice gear was expensive and kept breaking.

That's it. That was the whole idea. Something she used constantly was bad, and she knew exactly how it was bad, because she was the one using it.

At thirteen she went through a young entrepreneurs program, raised about $2,700, and started making better gear.

Years later she was named to a *Forbes* 30 Under 30 list — the youngest person in her category.

◆ Look at how all three started

Notice what's missing from these stories. **None of them started with money.**

Something a grandmother taught. A recipe in an old cookbook. Being annoyed by your own lacrosse stick.

That's the same thing you read about in Chapter 18 — starting with five dollars.

Small was allowed. Young was allowed.

◆ So why don't you hear about kids like this near you?

Let me be honest about something.

You might read those three stories and think *sure, but that's America, that's TV, that doesn't happen where I live.*

Here's the thing. **It does. You just don't hear about it.**

When somebody your age starts something, almost nothing about it gets published. News stories about minors usually hide the name or don't run at all — that's protection, not absence.

So the ones you hear about are the rare few who ended up on television. For every one of those there are a lot of people your age quietly selling something right now.

They're not missing. They're just not being reported.

There is a decent chance one of them is in your school.

◆ The three of them in five boxes

Customer. Family and neighbors first. It widened later. It always starts narrow.

Value. Something nobody nearby was doing — handmade bow ties, lemonade that helps bees, lacrosse gear that doesn't break.

Payment. Just selling it. No clever mechanism at the start.

Moat. Two things. Being that young was genuinely interesting, and the product was made by hand by the person telling the story. Hard to copy both at once.

Fault line. A trend passes, or a big company makes something similar. Any of these could be shaken tomorrow.

But look at what can't be taken back: **the experience, and the name they built.**

◆ Try It Yourself

Pick one of the three and look them up. Find an interview if there's one.

Check exactly one thing: **how small the very first step was.**

Not the TV deal. Not the shelf in the big store. The first step — the flea market table, the lemonade stand, the $2,700.

When you catch yourself thinking *okay, I could probably do that much* — that's the moment this chapter was written for.

◆ Sources for this chapter

1. Moziah Bridges — founding at age nine, his grandmother teaching him to sew, the television pitch at eleven and the choice of a mentor over the offer, and the NBA licensing deal at fifteen.
2. Mikaila Ulmer — the two bee stings at age four, the 1940 cookbook recipe for flaxseed lemonade, the use of honey from local beekeepers, and the Whole Foods placement.
3. Rachel Zietz — founding Gladiator Lacrosse at thirteen after a young entrepreneurs program, the roughly $2,700 raised to start, and the *Forbes* 30 Under 30 listing as the youngest in her category.

Chapter 18 · How to Start With Five Dollars

◆ "You need money to start"

Is that true? **No. If anything it's backwards.**

With a lot of money, failing doesn't even show up. With no money, failing costs you almost nothing.

Starting broke is the safer way to practice.

◆ Why capital isn't the thing

Go back through the ten brands in Part Two and count how many needed money on day one.

YouTube channels start with a phone. Recommending something you already own costs nothing. Plenty of large companies began as a person posting on a forum.

The ones that got big didn't start with capital. They started with an idea and did the cheap version of it.

◆ The five boxes when you're broke

With no money, two of the five boxes carry the weight.

Push Payment later. Do it free at first.

Remember the free game in Chapter 1? Gather people first, work out how to charge afterwards. That order is allowed.

Build the Moat with effort instead of money. Big companies dig with cash. You dig with time and attention.

Treating each person who buys from you noticeably better than a company would — **that's a moat.** And it's one money can't buy, which is exactly why it holds.

◆ Three ways to start with nothing

One: sell what you already have. An unused thing, a skill, information you happen to know. That's the resale idea from Chapter 7.

Two: just connect people. Like Chapter 9 — make nothing, introduce two people who need each other.

Three: make it first, get paid later. Good at drawing? Draw a few, show them, and say *"I can make one like this for you."* You don't need a finished product before anyone will pay.

◆ What it actually costs to start

How	What it costs
Selling something you own	$0 — you already have it
A skill (art, tutoring, editing)	$0 — just time
Recommending things you use	$0

How	What it costs
A video	$0 if you have a phone
An online shop page	Usually free to open

You genuinely can start at zero.

The obstacle was never money. It was starting.

◆ Try It Yourself

Find one thing you already have that **could be useful to somebody else.** An object, a skill, something you know.

Show it to one person today. Just one.

Whether they take it doesn't matter.

Feeling *I have something I can put in front of somebody* is the entire point of this chapter.

And if you want a number to work with, here it is: **five dollars.**

Not because five dollars buys anything. Because it's small enough that you'll actually do it, and losing it changes nothing about your life.

Chapter 19 · Making It Official

◆ Check this first

Selling a couple of things you don't use anymore isn't a business.

It becomes one when you're selling "over and over, on purpose."

Drawing one picture for a friend is a favor. Drawing one every week and charging for it is something else.

The moment you cross into the second one, this chapter starts to matter.

◆ The good news: you probably already have a business

In the United States, if you sell things and nobody has set up anything formal, you're a **sole proprietorship** by default.

Not a form you file. Not a thing you apply for. **It's just what you already are.**

That surprises people. There's no starting gun. You're not waiting for permission to begin.

◆ The part that's actually hard

Here's what does get complicated, and it isn't the paperwork.

Under 18, most contracts you sign can be undone.

The law in most states treats a minor's contract as *voidable* — meaning you can walk away from it. That sounds like it's in your favor, and in a way it is. It's meant to protect you.

But look at it from the other side. If your signature can be cancelled at any time, then:

- a landlord won't sign a lease with you
- a bank usually won't open a business account in your name alone
- a supplier may not want a contract with you

Not because anyone thinks you're untrustworthy. Because your signature doesn't hold the way an adult's does.

◆ So what does that mean in practice?

It means for the formal parts you need an adult — usually a parent — to sign alongside you or on behalf of the business.

That's not a defeat. Read Chapter 5 of the second book if you ever get there: **getting a parent involved early is the single thing that keeps a teenage business alive longest.**

Here's the honest division:

You can do alone	You'll need an adult for
Make the thing	Signing a lease
Sell it in person	Opening a business bank account
Sell online through a parent's account	Most licenses and permits
Keep records of everything	Anything with a long contract

◆ What about taxes?

Two things worth knowing, without getting lost in it.

One. A sole proprietor usually reports business income under their own Social Security number. There's often no separate tax number needed at all.

Two. That separate number — an **EIN**, which you'll see mentioned a lot — is mostly for businesses with employees or a separate bank account. The application asks for a "responsible party," and that generally has to be an adult.

If money is genuinely coming in, this is a conversation with a parent, not something to solve alone off a website.

◆ The rules are not the same everywhere

This is the most important sentence in the chapter.

Every state is different, and cities are different from each other too.

Some states will let a minor form a company. Some require whoever files the paperwork to be 18. Some cities want a permit to sell at a market; the next town over doesn't care.

And some things are simply off-limits to minors no matter who signs — anything involving alcohol or tobacco, for a start.

So I'm not going to print the rule for your state, because I'd get it wrong for most of you, and because these change.

What I'll do instead is show you how to find it in ten minutes.

◆ How to look it up in ten minutes

One. Search: *your state + "secretary of state" + business.* That's the official page. Ignore the ads above it — the sites selling you a filing service are not the government.

Two. Search: *your city + "business license" + requirements.* Cities, not just states, often have their own rules.

Three. Search: *your state + "sales tax" + small seller.* This is the one people forget, and it's the one that catches up with you.

Do all three from the official sites, ending in .gov where possible.

Then write down what you found, with the date. Rules change. A note that says *"checked in March"* is worth a lot more than a memory.

◆ Do you have to do any of this right now?

No. Almost certainly not.

Everything in Chapter 18 — selling one thing, posting one video, making something for one person — you can start today with none of this.

Come back to this chapter when "over and over, on purpose" is actually true. And when you do, come back with a parent.

◆ Try It Yourself

Nobody's telling you to register anything today. Just look one thing up.

Do search number one from the list above. Open your state's actual secretary-of-state page and read the first screen.

Then go ask a parent this:

> **"I want to try something like this later. Do you know how this part works?"**

That one question does more than the search does.

It turns the person most likely to worry about your business into the person helping you run it.

◆ Sources for this chapter

1. Sole proprietorship as the default status of an unregistered US business, and the absence of a formation filing requirement.
2. The treatment of minors' contracts as voidable in most US states, and the practical consequences for leases, bank accounts, and supplier agreements.
3. EIN requirements for sole proprietors, and the "responsible party" requirement on the application.
4. State-by-state variation in whether a minor may file business formation paperwork, and categories of licence closed to minors.

Rules in this area change and vary by state and city. Everything above is a starting point for a conversation with a parent, not legal advice. Check the current rule for where you live before acting on any of it.

Chapter 20 · Why It's Fine to Fail

◆ The thing adults are worst at explaining

"What if it doesn't work?"

Everyone asks this. It's a fair question and it usually goes unanswered.

Here's the answer. **"A failed business" sounds like a failed life** because of what people picture — someone who put everything in, borrowed money, and lost it.

That is not what you're about to do. Not even close.

◆ What do you actually lose?

Start the way Chapter 18 describes and there's almost nothing to lose.

One unused thing didn't sell. Nothing about your life changed. One video got forty views. Nothing happened.

Failing at your age is a small rehearsal for the failure that would otherwise arrive later, with real money attached.

Which makes failing now a good deal. You're paying almost nothing for information that's expensive later.

◆ You can analyze a failure with the five boxes

When something doesn't work, don't file it under *bad luck*.

Find out **which box you got stuck in.**

Was Customer empty? You might have built it without deciding who it was for.

Was Value off? What you thought was great may not have been something they needed.

Was Payment wrong? The price was off, or paying you was inconvenient.

Was there no Moat? Anyone could copy it, so it went as fast as it came.

Did you miss the Fault Line? It was working, then it wasn't, and there was a reason.

Once you know which box it was, you only have to fix that one.

That is roughly a hundred times more useful than *"try harder next time."*

◆ Don't hide it

Telling your friends *"I tried this and it didn't work"* is not embarrassing.

Having tried something puts you ahead of everyone who didn't.

The person who never started doesn't even know where they'd get stuck. You know at least one place. That's a real thing to own.

◆ The scary thing isn't failing

It's reaching twenty, or thirty, having never tried anything.

Because then the first attempt isn't allowance money. It's rent.

Fail small now and the odds at that point are enormously better.

Right now is the cheapest failure you will ever have access to.

The gap between people who understand that and people who don't turns into two completely different lives.

◆ Try It Yourself

Think of one thing you tried that didn't work out. A game, a presentation, anything at all. It doesn't have to be a business.

Point at **one box** where it got stuck.

Then say this out loud:

> **"I tried this, I got stuck here, and next time I'll do this differently."**

If you can say that sentence, **you're already someone who isn't afraid to fail.**

Closing — You Don't Need a Big Country

◆ To whoever got this far

Part One taught you the five boxes. Part Two put ten brands through all five. Part Three showed you how starting actually works.

Not many people your age have done all three. That isn't flattery. It's arithmetic.

◆ You know something most adults don't

Let me be straight with you.

Plenty of people who've worked at a company for ten years could not explain, in five boxes, where that company's money actually comes from.

You can do that now.

It doesn't feel like much because it took you an afternoon. But wherever you end up — a job, a company, your own thing — you'll be reading the room a step ahead of the people around you.

◆ One thing you can do today

If you close this book and do nothing, it was a book you enjoyed. That's all it was.

Do exactly one thing.

Take the one thing you already have from Chapter 18 and show it to one person before the day is over.

They can buy it or not. That isn't the point.

Starting is the point.

◆ You don't need a big country

Here's something worth knowing before you close this.

There's an idea that to build something real you need to be somewhere big. A huge market. A famous city. A country everyone's heard of.

It isn't true, and the five boxes are how you can tell.

Go back to Box Four. Of the ways a business keeps from getting taken, the strongest ones — the ones people can't copy — were never about size.

They were about **what piles up over time.** A customer who trusts you. A record of doing what you said. Knowing one particular group of people better than anyone else does.

None of that needs a big country. None of it needs money. It needs starting early.

And you are extremely early.

◆ Everyone doesn't have to start a company

That's not what this book is arguing.

But if a lot more people understood how money actually moves, everything around them would work differently.

Whether you take a job, or work at a company for thirty years, or build something of your own — the person who can fill in the five boxes makes different choices than the person who can't.

Better ones, mostly. And earlier.

◆ So here's the last thing

You don't have to make it big. You don't have to make it impressive.

Today. One person. One thing.

That's all.

Now close the book and go do that one thing.

Anatomy of Money for Teens · The Five Boxes Series · Teen Edition, Book One